

BEFORE THE FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,
Complainant

v.

COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY S.A.,
Respondents.

DOCKET NO. 21-05

**RESPONSE OF RESPONDENT MSC MEDITERRANEAN SHIPPING COMPANY S.A.
TO COMPLAINANT’S “NOTICE OF NEW DEVELOPMENTS” AND ITS
REQUEST THAT THE PRESIDING OFFICER “DECIDE COMPLAINANT’S
REQUEST TO EXTEND THE DISCOVERY SCHEDULE ON AN EXPEDITED BASIS”**

Complainant MSC Industries’ Notice purports to advise Your Honor of “new developments” as to its motion to compel and requests that Your Honor rule on its request to extend the discovery schedule on an “expedited basis.”

The only material new development since Complainant filed its motion and request for extension on November 22 is that Complainant has declined to proceed with the depositions duces tecum it noticed of two witnesses of Respondent MSC Mediterranean Shipping Company (“MSC”), Mr. DeMarino and Ms. Kapica. MSC agreed over two weeks ago to provide those witnesses for deposition on the very dates on which Complainant noticed them. MSC also supplemented its November 5 production -- just as it said it would when it made that production and as Complainant’s counsel acknowledged a few days later -- to assure that it had provided all of the documents sought in Complainant’s notices for those two witnesses. That supplemental production was made 9 days before the first deposition was to be taken and 13 days before the second. Complainant nonetheless announced yesterday that it was postponing the depositions, and filed the notice a few hours later.

MSC disagrees that any of the issues Complainant raises require expedited consideration. As confirmed to Complainant’s counsel before they filed the Notice, MSC of course intends to

comply with Your Honor's ruling on the motion to compel, and to cooperate with Complainant's counsel as to any scheduling issues that may arise in response to the ruling. MSC's counsel has not suggested in any way that its position will be affected by when Your Honor rules on any of this, and is fully committed to maintaining an orderly discovery procedure.

The primary discovery dispute between the parties continues to be Complainant's refusal to entertain any proposal to limit the time and expense of discovery by focusing initially on the core factual issues. These core issues -- which Complainant itself described as the "heart of the conduct alleged in the Complaint" in its motion to compel -- concern the specific shipments Complainant alleges MSC did not carry as contractually obligated: when and how did Complainant book or attempt to book those shipments and did MSC respond to such attempts appropriately. Both parties believe they have provided all of the responsive, non-privileged documents as to whether MSC complied with its contractual obligations to carry timely and properly booked cargo by Complainant -- the actual facts at issue concern 59 FEUs from two ports (Tianjin and Qingdao, China) over a three month period (May through July 2021).

As set forth in MSC's opposition to the motion to compel, for most of the period at issue at MSC received no booking requests from Complainant at Qingdao, the port where the bulk of the alleged miscarriage occurred, and MSC carried all of the cargo Complainant was allocated at Tianjin in July, thus appearing to resolve whatever issues Complainant might have been having there well before the Complaint was filed. And Complainant's CEO, who verified the Complaint, confirmed in his deposition that he had no evidence for the allegations in the Complaint that sought to portray the case as about something other than whether MSC had violated its contractual obligations as to a limited number of boxes over a limited time period. Complainant's flailing about in discovery -- noticing depositions on these core issues and then attempting to posture MSC as having "cancelled" them -- illustrates the wisdom of MSC's proposed approach. And again, contrary to the false

“urgency” Complainant seeks to portray, MSC is fully aware that the timing of discovery is ultimately up to Your Honor, whenever and however Your Honor chooses to rule. Focusing on the core issues in the case first is a far more efficient way to proceed, because if Complainant cannot establish that MSC failed to undertake in good faith its contractual obligations, then all of its Shipping Act claims and the need for further collateral discovery necessarily fall away. If Complainant were truly interested in getting to the point in this case, it would be deposing MSC’s witnesses on those core issues now.

The rest of Complainant’s Notice consists of accusations that do not fairly reflect MSC’s position. Indeed, the Notice does not provide any of the actual communications of the parties or set out the facts in any clear way, despite its professed advisory purpose. Those are provided as exhibits here, not to subject Your Honor to the back and forth between counsel, but to provide a record as needed to respond to Complainant’s assertions that MSC has not been cooperative in moving this case along, or clear and timely in stating its positions. We address a few of the assertions here in the interests of a clear record.

1. On November 19, Complainant noticed the DeMarino and Kapica depositions for December 3 and December 7.¹ The notices listed five topics as to which the deponents should bring documents: (1) MCS’s Ocean Carrier Agreement with MSC, Contract Number 21-104TPC (the “service contract”); (2) any MCS shipment or cargo (“MCS Cargo”) that was not carried by MSC, (3) the allocation of any container or cargo space to MCS or any agent of MCS pursuant to the service contract, or MCS’s entitlement to any such allocation pursuant to the service contract, (4) any attempted booking of, denied booking of, cancelled booking of, or request to book transportation by MSC of MCS Cargo that did not result in MSC actually carrying that MCS Cargo, and (5) inquiries

¹ See DeMarino and Kapica deposition notices, attached as Exhibit A.

by MCS or any agent of MCS about bookings or space allocations, or the lack thereof, pursuant to the service contract.²

2. The topics identified by Complainant were appropriately tailored and consistent with what both parties agree are the “heart of the conduct alleged in the Complaint,” and the issues that MSC has asserted since the outset of discovery should be explored before the parties were put to the burden of addressing the extremely broad and burdensome collateral discovery. The DeMarino and Kapica deposition notices were for MSC personnel who dealt directly with these core issues, and listed appropriately tailored topics as to which MSC had either already provided or was in the process of providing full documentary discovery. MSC thus agreed, two business days after receiving the notices, to provide these witnesses on the dates noticed.

3. The next day, MSC provided a supplemental production of 855 pages of documents to comply fully with the duces tecum aspect of Complainant’s notices. Contrary to Complainant’s assertion, MSC had stated on November 5 that it planned to supplement the substantial production it was making that day in compliance with the scheduling order, and Complainant acknowledged the same on November 8. Complainant’s notice concedes that “many of the documents in [the supplemental] production are additional portions of email threads that were included in Respondent’s initial production.”³ Any suggestion that this supplemental production prejudiced Complainant’s ability to take depositions 9 and 13 days later is not credible.

4. The inference that Complainant is using the supplemental production as an excuse to try to blame MSC for Complainant’s own decision to postpone the depositions is reinforced by the fact that, previously, on November 22, MSC proposed delaying all of the depositions until its motion

² *Id.*

³ Notice at 2.

to compel was decided.⁴ MSC agreed to defer the corporate designee deposition, which was unreasonably overbroad in any event,⁵ but saw no reason to delay the DeMarino and Kapica depositions, since MSC was providing all the documents Complainant sought for them and there was thus nothing further to compel. MSC also noticed the depositions of Complainant's corresponding personnel on the same subjects.⁶ Complainant states it made a complete production of all relevant information on those issues on Nov. 5; MSC also made such a production well in advance of the noticed dates for the depositions.

5. Late on the Tuesday before the scheduled Friday deposition of Mr. DeMarino, Complainant demanded for the first time that MSC agree to further depositions of its two witnesses after the motion to compel was decided, and announced this was its condition for its taking the depositions.⁷ MSC responded that it had provided full discovery on the topics listed in the notices, and given that Complainant's counsel had not identified any issue covered by its motion to compel that these witnesses might be competent to testify to anyway, it saw no reason to agree to this unilateral demand. Complainant's counsel sent two more emails misstating the record, accused MSC of "cancelling the depositions," and filed the Notice.⁸

⁴ See Nov. 22-24 communications with MCS counsel, attached as Exhibit B.

⁵ See MCS 30(b)(6) deposition notice, attached as Exhibit C. Complainant's corporate designee deposition notice was breathtakingly broad, listing 34 separate topics of inquiry, including, for example: "any changes in the practices or procedures employed by MSC towards MCS or other shippers," "all communications from January 1, 2020 through the present concerning the allocation of any container or cargo space between or among (a) shippers with service contracts with MSC and (b) shippers without service contracts with MSC on any sailings of MSC's vessels for routes covered by the [MSC-MSC] service contract," "MSC's communications with its booking agents from January 1, 2020 through the present concerning MSC's strategy for allocating or awarding cargo space on its vessels," the "process(es) or system(s) by which MSC allocated cargo space on any sailings of MSC vessels for routes covered by the OCA during the period from January 1, 2020 through the present, and "MSC's operational performance from January 1, 2020 through the present on lines between Qingdao, Tianjin, or Fuzhou, China and California."

⁶ See Schantzenbach and Montesano deposition notices, attached as Exhibit D.

⁷ See Nov. 30-Dec. 2 communications with MCS counsel, attached as Exhibit E.

⁸ See *id.*

The above accurately reflects what happened, confirmed by the exhibits hereto.

Finally, while MSC has no desire to join Complainant in trying to impose a false sense of “urgency” on Your Honor, we would point out that delaying resolution of this case does prejudice MSC. Complainant hired a public relations firm to publicize a salacious complaint that was intended to cause and has caused MSC reputational harm. As set out more fully in MSC’s response to the motion to compel, *e.g.* at pp. 8-10, Complainant has already abandoned many of the allegations in its complaint, for example any suggestion that MSC colluded or conspired with COSCO or any other carrier as to the conduct alleged, and its CEO who verified the Complaint was unable to point to any evidence supporting many more. Having this proceeding continue indefinitely while Complainant chases third-party witnesses for information about its own booking requests (in addition to information about other shippers and other matters beside the point), and seeks huge amounts of discovery on matters collateral to the heart of the case is prejudicial to MSC, which is why MSC has laid out a path to summary disposition in its response to the motion to compel. MSC continues to believe that this is a realistic path. And Complainant likely does as well, which is why it is trying to blow up the depositions of the two key witnesses on each side that could get to the point and likely end this ill-conceived litigation.

Respectfully submitted,

/s/ John Longstreth

Michael Scanlon
John Longstreth
K&L GATES LLP
1601 K St. NW
Washington, DC 20006
(202) 661-6271
michael.scanlon@klgates.com
john.longstreth@klgates.com

Ifigeneia Xanthopoulou
K&L Gates LLP
599 Lexington Ave.
New York, New York 10022
(212) 536-3956
ifigeneia.xanthopoulou@klgates.com

Counsel for Respondent
MSC Mediterranean Shipping Company S.A.

December 3, 2021

CERTIFICATE OF SERVICE

I certify that, on December 3, 2021, a true and current copy of the foregoing was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following:

Matthew J. Reynolds
Karl C. Huth
Sara G. Wilcox
HUTH REYNOLDS LLP
41 Cannon Court
Huntington, NY 11743
reynolds@huthreynolds.com
huth@huthreynolds.com
swilcox@huthreynolds.com

Counsel for Complainant MCS Industries, Inc.

/s/ John Longstreth